

actuarial tables, the probability that a 65-year-old male does not reach the age of 70 is approximately 8%. This mortality rate comes from subtracting the listed survival rate of 92.2% from the total of 100%. Yet, as you can see, there is the same 8% chance that he reaches age 95. One group gets 30 years while the other group doesn't even get 5 years. They are of equal odds. This is longevity risk.

Now is a good time for me to reemphasize the fact that there are many possible mortality assumptions or actuarial tables. For example, the Social Security Administration uses very different tables for calculating benefits and projecting future deficits and liabilities. This is because they work with the population as a whole as opposed to a subset of possibly healthier and longer-lived pensioners. In the opposite direction, if you are ever interested in purchasing an immediate life or income annuity, a topic that I discuss in Chapter 9, "Annuities Are Personal Pensions," the insurance company actuaries will use a completely different table. The annuity table assumes much higher survival odds when determining how long you are projected to live and, hence, how much you are to be paid for the rest of your life. This is another example of the effect of asymmetric information, which I discussed in Chapter 2, "Insurance Is a Hedge for Human Capital." In fact, there are so many possible actuarial tables that I often joke that they are like snowflakes; no two are ever alike.

Do People Understand the Odds?

Interestingly, when it comes to identifying factors that we perceive to be the most likely to cut our lifespan short, a study published by LIMRA in 2004 suggests that many of us make errors. The study subjects were asked to estimate the probability that they will die because of a number of natural and unnatural causes listed in Table 7.2. Compare the responses in the Estimate column compared to those in the Actual column. The results suggest that people have the tendency to underestimate their chances of dying from natural causes such as heart disease and significantly overestimate their chances of dying from such events as accidents or homicide. Errors in our perception of our expected remaining lifetime, of course, can be detrimental to retirement planning, because a lack of a proper hedging strategy